



**Social
Benefits
Tribunal**

APPELLANT

Appellant's Representative

Asher Honickman

RESPONDENT

Respondent's Representative

Director, Ontario Disability Support
Program
By Written Submission

PRESIDING MEMBER

Georges Lariviere

Hearing Date

September 21, 2023

SBT File No.

2206-02564

Citation

2023 ONSBT 3846

DECISION

ISSUE

[1] The Appellant disagrees with the Director's October 5, 2021, and March 16, 2022, decisions which deemed the Appellant to be financially ineligible for ODSP benefits at the time of application due to income and assets in excess of the prescribed limits.

DECISION

[2] The appeal is granted. The Director's decision rescinded. The Tribunal orders that if otherwise eligible, income support shall be paid to the Appellant in accordance with section 17 of O. Reg. 222/98 made pursuant to the Act.

PRELIMINARY ISSUES

[3] The Director's written submission was received by the Tribunal on September 15, 2023.

[4] At the hearing, the Appellant's legal representative objected to the admission of the Respondent's late submission as it had not been filed in accordance with the relevant regulations.

[5] According to Section 62(2) of O. Reg. 222/98 (the "Regulation") the Director is required to file a written submission with the Tribunal within 30 days after receiving a copy of the notice of appeal if it intends on relying on a written submission:

62 (2) If the Director intends to file a written submission, it shall be filed with the Tribunal within 30 days after the Director receives a copy of the notice of appeal.

(3) A copy of the Director's written submission, if any, shall be provided to the Appellant and any other party.

[5] According to Section 65(3) of O. Reg. 222/98 If a party does not produce evidence or submissions in accordance with subsection 62 (2), 64 (1) (b) or subsection (2), the Tribunal may, on the terms and conditions it considers appropriate,

(a) adjourn the hearing;

(b) refuse to accept the evidence or written submissions; or

(c) accept the evidence or written submissions.

[6] This requirement is also reflected in Rule 4.2 of the Tribunal's Rules of Procedure.

[7] Rule 4.5 provides that any additional evidence or submissions by the Director in reply to the Appellant's submissions must be filed no later than 10 days prior to the hearing. This rule reflects subsection 65(2)(b) of the Regulation. When submissions and evidence are not filed in accordance with the requirements of the Regulation, subsection 65(3) allows the Tribunal to refuse to accept the written submissions and evidence, adjourn the hearing, or accept the late evidence and submissions:

[8] Subsection 65(3) is also reflected in Rule 4.6.

[9] The Respondent's representative was not in attendance at the hearing.

[10] The Member canvassed the Appellant's legal representative with respect to the reasons for the request to refuse to accept the submission, and the possibility of granting an

adjournment in order to afford the Appellant adequate time to review the material and prepare its response.

[11] The Appellant's legal representative indicated that the reason for the request was primarily related to the late filing and not due to a significant change in the Director's position. The Appellant's legal representative also indicated that they were prepared to proceed and preferred not to adjourn the matter.

[12] Given these facts the Tribunal found it was reasonable and fair to admit the Respondent's late submission and to proceed with the hearing as scheduled.

BACKGROUND (drawn from the party's submissions)

[13] The Appellant is a severely disabled person, suffering from extreme autism spectrum disorder. He requires 24-hour care and among other issues arising from his medical conditions he has no concept of safety and is unable to communicate his immediate needs. The primary caregiver is his widowed mother who also acts as the Appellant's trustee.

[14] The Appellant's father was killed in a tragic motor vehicle accident on September 1, 2011. As part of a related judgement the Appellant was provided with structured payments through both an annuity and mutual funds. These monies were intended to provide for the Appellant's disability related expenses.

[15] At the time of the Appellant's ODSP application the Appellant held an annuity with an approximate value of \$1.5 million, with monthly disbursements of \$2663.79, and an RBC mutual fund with a balance of \$639,998.51 generating monthly payments of \$3184.27.

APPELLANT'S TRUSTEE'S TESTIMONY

[16] The Appellant's trustee testified that the Appellant was 23 years of age at the time of the hearing, and that he was in need of 24 hour a day care and supervision due to his medical conditions and his inability to identify environmental threats and dangers. The Appellant is nonverbal, displays aggressive behaviour, is prone to chronic constipation, and has issues related to glucose and lactose tolerance.

[17] The trustee reported that while she provides first-hand support and assistance to the Appellant, she is unable to meet the entirety of the Appellant's needs and must hire outside resources to assist with the Appellant's care.

[18] The Appellant's trustee testified that despite receiving favourable/discounted rates from some service providers, the cost of the Appellant's healthcare related expenses as well as the cost of his share of the home expenses significantly exceeds the amount of monthly court ordered payouts, and that she must supplement the structured payments received through the court order with her own funds which are rapidly depleting.

[19] The Appellant's trustee also testified that neither she nor the Appellant can access any portion of the principal amount held in the funds directly or vary the amount of the disbursements without seeking authorization through the court.

APPELLANT'S POSITION

[20] The Appellant's position is that the Director's decision is wrong and should therefore be overturned and set aside, and the Appellant should be entitled to receive ODSP income support and benefits.

[21] The Appellant's legal representative submitted that a court awarded the Appellant damages to compensate for the loss of his father and that the damage award was not intended as, nor did it provide the Appellant with an income as the disbursements from the fund were less than the cost of the Appellant's disability related expenses.

[22] The court ordered that the monies funding the structured settlement were to be held in an annuity, and mutual funds; and that disbursements from the funds be structured; and only be made in the amounts and on the dates specified as part of the Court order.

[23] The Appellant's representative argued that in accordance with section 43 of O. Reg 222/98, monies paid from the funds should be exempt from being considered as income; since the funds from the trusts are used for disability related items and payments made pursuant to a court order. For these reasons, the Tribunal should find that the Director improperly classified the monthly amounts received by the Appellant as income, and these amounts should not be used as income in determining the Appellant's eligibility for ODSP.

[24] Further with the passage of time, the amount paid to the Appellant by the two funds for his disability related expenses has over the years been decreasing. The total amount disbursed by the funds for the Appellant's disability related expenses is far exceeded by the reasonable and necessary monthly expenses required as a result of the Appellant's medical conditions. Therefore, the Appellant's "supposed" income is essentially nil.

[25] In its written submission the Appellant's legal representative referred to monthly payments from the two funds of \$5601.87. This amount is insufficient to meet the Appellant's monthly expenses which total \$12,280.93 (\$8,867.60 for healthcare related expenses and \$3393.33 as the Appellant's share of home expenses). These expenditures are in keeping with, but less than the estimates provided to the court by an independent expert who estimated the annual cost for the care and support of the Appellant due to his medical conditions at \$252,159.15. In addition, it is noted that the amounts paid for the Appellant will in the coming years decrease as the principal amount diminishes.

[26] The Appellant's legal representative argued that in concluding that the Appellant held assets in excess of the prescribed amount, the Director had failed to consider the regulatory framework and the applicable case law, or to recognize that the monies are for disability related expenses as allowed under section 27 (2) of O. Reg 222/98.

[27] The Appellant's legal representative submitted that the Appellant did not have access to the asset(s) free of encumbrances. As ordered in the court judgement, disbursements from the funds are made as specified amounts payable each month. The fact that monthly payments were considerably less and then the Appellant's monthly expenses supports this conclusion, as the Appellant "would be accessing more of these funds each month to cover all his burgeoning expenses" if he could.

[28] The Appellant's representative also submitted that since all of the funds in both of the Appellant's accounts have and will be used for the purchase of disability related items and items and services that are necessary for his health, the Director in keeping with section 27 (2) should have allowed the Appellant to exceed the prescribed asset limit. Instead, the Director's did not "even consider" whether the Appellant's assets were "accessible".

[29] Alternatively, the Appellant's legal representative argued that if the monies held in trust were found to be assets, they should be exempted under section 28 of the Regulations, "as an amount received for damages under clause 61 (2) (e) of the family Law act to compensate for loss of care, guidance and companionship as a result of death or injury". The Appellant's legal representative submitted that any ambiguity in the regulation must be resolved in the Appellant's favour and noted that the Director failed to provide reasons for its decision with respect to this issue.

[30] The Appellant's legal representative referred to material received from the Director which included an opinion provided by the ODSP's legal branch which suggested that the Appellant's award could be exempted as being an award for loss of care, guidance and companionship pursuant to section 28 paragraph 14.2 of the Regulation; noting that the Director without providing explanation or reasons chose not to apply this exemption.

[31] The Appellant's legal representative also argued that the assets could be exempted under as that 28 (14) of O. Reg 2 2298, "which exempts funds that are received as damages/compensation as a result of pain and suffering for expenses actually and reasonably incurred as a result of injury or death of a member of the benefit unit".

[32] The Appellant's legal representative submitted that the Director incorrectly took the position that the death of the Appellant's father did not constitute the death of a member of the benefit unit since neither the Appellant's father nor the Appellant were members of an ODSP benefit unit at the time of his father's death. He argued that paragraph 14 does not include a temporal requirement and had in a previous Tribunal ruling been interpreted to include "an injury that occurred prior to the application for ODSP". Further since "paragraph 14 is located within section 28 which deals with the threshold entitlement to income support... it presupposes an individual making an initial application for ODSP rather than a benefit unit already receiving support".

[33] The Appellant's legal representative also took issue with the Director's position that not all of the requested documentation had been provided by the Appellant. The Appellant's legal representative argued that the Appellant had not been made aware of the outstanding documentation requirement prior to the Director's decision, and that all the requested

documentation had been submitted with the Appellant's request for reconsideration. Despite the additional information which responded to the Director's concerns, the reconsideration was denied without any substantive reasons.

[34] The Appellant requests that the Tribunal grant the Appellant's appeal, rescind the Director's decision and order the Director to pay the Appellant income support from and including the date of the initial application, or from some other date the Tribunal considers just.

RESPONDENT'S POSITION

[35] The Director's position is that the October 5, 2021, and March 16, 2022, decisions to deem the Appellant financially ineligible for income support are correct and in accordance with the applicable legislation and regulations; as the Appellant's assets "in excess of the prescribed limit of \$40,000.00, as well as income in excess of the allowable amount."

[36] The Director submitted that in order for the funds to be exempted under sections 28 (1) paragraph 14 (ii) or 43 (1) paragraph 4 (ii) "they must compensate for the injury to or death of a member of the benefit unit". The Director argued that since neither the Appellant nor his father were members of an ODSP benefit unit at the time of his death neither of the funds awarded to the Appellant were exempt as income or assets.

[37] Therefore, the Appellant is financially ineligible for ODSP benefits as his income and asset levels exceeded the prescribed amounts, and there is nothing in the legislation and/or regulations which will allow the Director to exempt any of the assets or income as they "did not derive from the death of a benefit unit member".

[38] The Director requests that the Tribunal affirm the Director's decision as the Appellant has not discharged the onus set out in subsection 23 (10) of the *Act*.

REASONS

[39] In coming to its decision, the Tribunal has considered all of the available evidence including the testimony from the Appellant's trustee.

ASSETS IN EXCESS

[40] Section 27 (1) of the Ontario Regulation 222/98 (the Regulation) prescribes asset limits for ODSP recipients. Specifically, section 27 (1) prescribes a \$40,000 asset limit for a benefit unit that includes a single adult with no dependents and no spouse.

[41] Section 28 (1) of the Regulation prescribes the manner by which assets are determined and creates a number of exemptions.

[42] The Appellant's legal representative referred to *Guy v. Northumberland (County) Administrator, Ontario Works*, [2001] O.J. No. 2166; arguing that "for money to be considered as an asset that must be liquid and accessible."

[43] In *Guy v. Northumberland (County) Administrator*, the Court considered the concepts of liquidity and accessibility and found that monies held in trust were not considered to be assets for the purposes of determining eligibility for financial assistance; as the monies are "not available because they were out of reach of the recipient under the terms of the trust".

[44] While *Guy* deals with the treatments of assets under Ontario Works Act, 1997 (OWA), past decisions of the Tribunal have also found that this reasoning also applies to the calculation of assets under the Ontario Disability Support Program Act, 1997 (ODSPA).

[45] In the present matter, a judgement of the Ontario Superior Court of Justice ordered that:

(a) The structured settlement shall be funded in the amount of \$1,500,000 and shall be brokered by [name of company].

(b) The structured settlement shall make periodic payments, with respect to [the Appellant's] injury-related expenses, in the amounts and on the dates set out in Schedule "A" hereto (hereinafter, the "Structure Payments");

(c) The defendants through [name of company] shall cause the Structure Payments to be assigned, on a non-recourse basis, to [name of company] (hereinafter, the "Assignee") by way of an Assignment and Assumption Agreement to be concluded between [name of company], as assignor; the Assignee, as assignee; and [the Appellant] by his Litigation Guardian, [Appellant's trustee], as claimant and consenting party;

(d) The Assignee shall fund the Structure Payments through the purchase of a non-assignable, non-commutable, and non-transferable annuity (hereinafter, the

"Annuity") issued by its affiliate, [name of company] (hereinafter, the "Annuity Issuer"), of which Annuity the Assignee shall be the owner and annuitant (beneficiary);

(e) The Assignee shall irrevocably direct the Annuity Issuer to make the annuity payments to a court-appointed Guardian of Property of [the Appellant], for the benefit of [the Appellant], subject to further order of the Court, or, in the event of [the Appellant's] death before the end of the guarantee period, to the Estate of [the Appellant]; and,

(f) Notwithstanding the Assignee's purchase of the Annuity as provided for in paragraph 1 (d) hereof and its giving the Annuity Issuer the irrevocable direction to pay as provided for in paragraph 1 (e) hereof, the Assignee shall remain liable for the Structure Payments until same are paid, and shall enjoy a protanto release and discharge to the extent of each annuity

[46] The court in paragraph B ordered that the structured settlement "shall make periodic payments with respect to the Appellant's injury related expenses, in the amounts and on the dates set out in schedule "A". The Tribunal on the basis of this order finds that the trust was neither liquid nor accessible to the Appellant. The amount and the timing of any payments from the settlement were defined in the Court's order, and as such were out of the reach of the Appellant.

[47] The Appellant's legal representative also argued that if the monies held in trust for the Appellant were to be considered assets these could be exempt by virtue of the exemptions found in Section 28 of O. Reg 222/98, which lists those assets which are not to be included by the Director in its determination of an individual's eligibility for ODSP benefit.

[48] In a March 16, 2022 email to the Appellant's legal representative of the Director argued that the asset exemptions listed in 28 (1) (14) (ii) of O. Reg 222/98 did not apply to the Appellant as neither the Appellant nor the Appellant's father were members of the benefit unit at the time of the father's passing.

28(1) For the purpose of section 27, the following are not included as assets:

...

14. Subject to subsections (2) and (2.2), an amount received as damages or compensation for,
 - i. pain and suffering as a result of injury to or the death of a member of the benefit unit, or

- ii. expenses actually and reasonably incurred or to be incurred as a result of injury to or the death of a member of the benefit unit.

[49] The Appellant's representative argued that "paragraph 14 is located in section 28 which deals with the threshold entitlement to income support. In other words, it presupposes an individual making an initial application for ODSP."

[50] The Tribunal finds that the regulation is clear and that the exemption described in 28 (1) (14) (ii) of O. Reg 222/98 is intended to include damages and compensation for pain and suffering and expenses incurred as a result of injury or death of the death of a member of the benefit unit. Therefore this Regulation is intended to define exemptions applicable both to new applications and ongoing eligibility requirements. As such the Tribunal finds that the funds held in trust for the Appellant are not the result of injury to or the death of a member of the benefit unit, and therefore this exemption does not apply in this instance.

[51] The Tribunal agreed with the Appellant's legal representative who argued that section 27 (2) provides for situations where in situations such as the Appellant's, the prescribed asset limit may be exceeded. These include situations where assets are held "to purchase an item or service which the Director considers necessary for the health of a member of the benefit unit or for disability related items or services approved by the Director". As long as "the greater amount is not greater than the sum of the prescribed limit for assets under subsection (1) and the amount allowed under clause (a).

[52] In this case the Appellant has provided documentation from an independent expert detailing the extent of the Appellant's care requirements as well as the estimated cost of satisfying these needs for the duration of the Appellant's life. The estimated annual cost of providing the disability related items and services to the Appellant was found to be \$252,159.15. This is significantly less than the expected lifetime cost of meeting the Appellant's disability related needs.

[53] In summary the Tribunal finds that the Director's decision to find the Appellant financially ineligible for ODSP benefits due to assets in excess of the prescribed limits is wrong.

INCOME IN EXCESS

[54] In his submission the Appellant's legal representative argued that the Director's decision to classify the court ordered disbursements from the Appellant's accounts as income was wrong. The Appellant's legal representative submitted that Section 43 of O. Reg. 222/98 exempts from income payments from the trust which are used for disability related items and payments made pursuant to a court order for disability related items. The Director for its part was silent with respect to the applicability of the exemptions found in s 43 (9) (i) and 43 (9) (1).

[55] The Appellant's legal representative further argued that the Ontario Court of Appeal requires that "income" be considered in the unique context of public assistance legislation.

"It must be interpreted in a manner that fosters the purpose of the ODSPA: "to effectively serve persons with disabilities who need assistance". Moreover, as noted above the law is clear that ambiguities must be resolved in the Appellant's favour. Bearing this in mind, the Court of Appeal has afforded a broad interpretation to the exemptions under s.43 to ensure that they achieve the purpose of the ODSPA".

[56] Section 43(9) (i), O. Reg. 222/98 provides that "payments from a trust or from a life insurance policy, gifts or other voluntary payments, that are applied to expenses for disability related items or services for a member of the benefit unit that are approved by the Director and that are not and will not be otherwise reimbursed are exempt from income.

[57] Section 43(9) (1), O. Reg. 222/98 provides that "payments, other than payments under paragraph 9, that are made pursuant to a court order or under a government funded program and that are specifically made for a purpose listed in paragraph 9 and are applied to that purpose.

[58] The Tribunal agrees, the Appellant has provided evidence in the form of various financial documents including: receipts for the payment of services provided 3rd parties suppliers, and a loss of care and services report. These show monthly expenses related to the Appellant's share of home expenses and healthcare expenses totaling \$12,280.93 per

month in contrast to the monthly payments of \$5601.87 per month made from the Appellant's trust funds.

[59] The Tribunal is satisfied that the payments received by the Appellant pursuant to the structured settlement are exempt under S.43 (9) (i) and 43 (9) (1) of O. Reg 222/98. The payments made through a trust as a result of a court order, are made to cover expenses for items and services related to the Appellant's disability that are not otherwise reimbursed.

[60] In summary the Tribunal finds that the Director's decision to find the Appellant financially ineligible for ODSP benefits due to income in excess of the prescribed maximum is wrong.

ORDER

[61] The appeal is granted. The Director's decision rescinded. The Tribunal orders that if otherwise eligible, income support shall be paid to the Appellant in accordance with section 17 of O. Reg. 222/98 made pursuant to the Act.

Signed by Georges Lariviere

**Date issued
October 19th, 2023**